

then I will run a current VAR that is relatively low because I think the future will be more volatile than the past.

VAR gets a bad name because people manage risk by it, and the shortcoming is that volatilities and correlations can change very radically on an existing portfolio vis-à-vis what they were in the past.

But that is patently obvious.

If it is so obvious, how come so many people manage risk that way?

VAR doesn't blow up portfolios; people do.

Do you ever have a problem getting out of a losing trade?

I start by deciding where the market would have to go for me to be wrong. That's where I place my stop. That means that it's not difficult for me to get out of a position if the market goes there. The most common money management error I see is people setting stop losses that are really pain thresholds. When the market reaches their stop, they don't really want to get out because they still think they are right. They will get out because their stop is hit, and they are disciplined. But very soon afterwards, they will want to get back in because they don't think they were wrong. That's how day traders in Nasdaq in 2000 and 2001 lost a ton of money. They were disciplined, so they would close out their positions by the end of the day. But they kept on repeating the same trading mistake. They failed to recognize that they were completely wrong because we were in a bear market.

So the disciplined use of stops that are set too close could lead to the proverbial death by 1,000 cuts.

Yes, and that is why I think trading books that provide specific rules can be quite dangerous. They can lead to the illusion that you are in control and being disciplined. And it is true that you are restricting yourself from a single catastrophic loss, but it doesn't prevent repeated losses on the same idea.

Sometimes a close stop may be appropriate. If it is a short-term technical idea, and you don't like the trade anymore if the market breaks a level, then getting out on a close stop is fine. If, however, it is a fundamental idea that needs a long time to play out, then a short-term stop makes